

The Protective Order shall be as follows:

- The reopened depositions of Richard A. Bottomley and Susan G. Bottomley shall proceed by Zoom.
- Each deposition is limited to sixty minutes of on-the-record examination time, exclusive of reasonable breaks.
- The depositions shall proceed consecutively, or with only a brief interval, on a mutually agreeable date within 15 days of this order.
- Examination is limited in subject matter to the newly pled affirmative defense economic duress as to the three change orders at issue.

Defendants/Cross-Complainants Request for Sanctions GRANTED in PART.

Sanctions awarded in the amount of \$2500, payable to counsel for Defendants/Cross-Complainants Richard and Susan Bottomley within 30 days of this order.

Plaintiff's request for Sanctions DENIED.

Trial Setting Conference remains set for 11.20.26.

2.

| CASE #      | CASE NAME                                                          | HEARING NAME                                                                                            |
|-------------|--------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|
| CVPS2604326 | SONNENBLICK HOLDINGS, LLC VS H.N. AND FRANCES C. BERGER FOUNDATION | HEARING RE: DEMURRER ON COMPLAINT OF SONNENBLICK HOLDINGS, LLC BY H.N. AND FRANCES C. BERGER FOUNDATION |

**Tentative Ruling:**

Breach of Contract – 1<sup>st</sup> Cause of Action:

“A cause of action for breach of contract requires pleading of a contract, plaintiff's performance or excuse for failure to perform, defendant's breach and damage to plaintiff resulting therefrom.” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1031.) A contract will be enforced if it is sufficiently definite for the court to ascertain the parties' obligations and to determine whether there has been a breach. (*Bustamante v. Intuit Inc.* (2006) 141 Cal. App. 4th 199, 209.) To plead a cause of action based on a written contract, a plaintiff may attach a copy of the written contract and incorporate it by reference or plead the terms verbatim or the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.)

The JVA is attached to the Complaint as Exhibit A. Section 2b of the JVA sets out the two-closing format for the deal and explains the conditions precedent for the initial and final closing. Before the final closing could occur, the JVA set out six conditions precedent, including that Sonnenblick-Palm Desert, LLC will have been established and be in good standing with the State of California and that Developer will have obtained a binding commitment for the construction loan as corroborated by one or more binding written loan agreements. (Comp. Ex. A § 2b(b)(a)(i)-(vi).) Additionally, prior to the final closing date, the parties needed to obtain the Coachella Valley Water District's approval for the project development and increase power supply to the project. (Comp. Ex. A §2c(a) & (b).)

Plaintiff alleges it “did everything required of it under the joint venture agreement until Defendant Berger’s actions prevented Plaintiff’s performance to develop the Property. Plaintiff worked to complete the construction of the hockey arena pursuant to Defendant Berger’s wishes and put other development on hold so the construction deadline could be met, and additional approvals would not be required. Once complete, Plaintiff began designing, submitting plans, and developing the remaining portions of the Property.” (Comp. ¶23.) Then, in July 2022, Plaintiff alleges Defendant elected to terminate the joint venture agreement and prevented Plaintiff’s performance without its consent. (¶24.)

Defendant argues Plaintiff has not sufficiently alleged Plaintiff’s performance or excuse for non-performance. “Where contractual liability depends upon the satisfaction or performance of one or more conditions precedent, the allegation of such satisfaction or performance is an essential part of the cause of action.” (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1389 (*Careau*)). “This requirement can be satisfied by allegations in general terms” and it is enough “for a plaintiff to simply allege that he has ‘duly performed all the conditions on his part.’” (*Ibid.*) However, if a condition precedent is an event as opposed to an act to be performed by the plaintiff, a specific allegation of the happening of the condition must be plead. Additionally, a general allegation of due performance is not sufficient if the plaintiff also sets forth what occurred and those facts do not constitute due performance. (*Id.* at 1389-1390.)

As noted above, Plaintiff generally alleged it “did everything required of it under the joint venture agreement until Defendant Berger’s actions prevented Plaintiff’s performance to develop the Property.” (Comp. ¶23.) This is sufficient under *Careau*. The conditions precedent were things Plaintiff had to do and not events so the caveat articulated in *Careau* does not apply. Plaintiff’s allegations are very general and do not include facts relating to the many conditions required before the final closing could occur. However, the allegation that Plaintiff completed all tasks required of it under the JVA until it was prevented from performing is sufficient for pleading purposes.

However, there is contradiction about Plaintiff’s allegations of construction of a hockey arena. The Complaint alleges Berger entered into a pre-development agreement for the construction and development of a hockey arena on the property and that, as part of the JVA, Plaintiff and Berger worked together to construct the hockey arena. (Comp. ¶¶9-10.) Defendant argues the terms of the JVA are inconsistent with these allegations because the JVA did not contemplate construction of a hockey arena. Defendant is correct – the JVA does not mention a hockey arena. The JVA notes the land was “proposed for a potential 350-room dual-branded Hilton hotel...a luxury 150-villa Lagoon Hotel,” residential development, commercial development, and retail/food/limited-service hotel development. (Comp. Ex. A, Beginning of Agreement.) In Opposition, Plaintiff contends the “intention of the development at the time the JVA was entered into changed” as alleged in the Complaint at paragraphs 9 and 10. The allegations in the Complaint are not perfectly clear as to how the construction of a hockey arena became part of the JVA. Paragraphs 9 and 10 of the Complaint allege Berger entered into a pre-development agreement for the construction and development of the hockey arena and Plaintiff and Berger worked together to construct the arena “as part of the JVA.” This is inconsistent with the language of the JVA which does not mention a hockey arena. Facts appearing in exhibits attached to the complaint are given precedence over inconsistent allegations in the complaint. (*Moran v. Prime Healthcare Mgmt., Inc.* (2016) 3 Cal.App.5th 1131,

1145-1146.) Since Plaintiff's allegations of performance of its duties under the contract center on its work to complete construction of the hockey arena, this issue needs to be clarified. As currently pled, the Complaint does not sufficiently allege Plaintiff performed its duties under the terms of the contract or its non-performance was excused.

Breach of Fiduciary Duty – 2<sup>nd</sup> Cause of Action:

"The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach." (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith* (1998) 68 Cal. App. 4th 445, 483) A fiduciary relationship exists when confidence is reposed by persons in the integrity of others, who voluntarily accept the confidence and therefore cannot act so as to take advantage of the others' interests without their knowledge or consent. (*Tri-Growth Centre City Ltd. v. Silldorf, Burdman, Duingnan & Eisenberg* (1989) 216 Cal. App. 3d 139) "The essence of a fiduciary or confidential relationship is that the parties do not deal on equal terms, because the person in whom trust and confidence is reposed and who accepts that trust and confidence is in a superior position to exert unique influence over the dependent party." (*Barbara A. v. John G.* (1983) 145 Cal. App. 3d 369, 383.)

"Before a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law." (*City of Hope Nat'l Med. Ctr. v. Genetech, Inc.* (2008) 43 Cal. 4th 375, 386.)

Defendant argues Plaintiff has not alleged facts showing a joint venture or other fiduciary relationship ever arose and the express language of the JVA confirms no such relationship was created by the agreement. Furthermore, Defendant argues the Complaint does not allege Defendant breached any fiduciary duty even if one existed.

The Complaint alleges: "Plaintiff was the joint venturer and partner of Defendant Berger with relation to the Property." (§30.) Additionally, the Complaint alleges: "Defendant Berger knowingly acted against Plaintiff's interests by claiming to terminate the parties' joint venture agreement, failing to contribute the real property to a jointly owned company with Plaintiff, and keeping all of the proceeds from the developed Property for itself." (§31.)

"[P]artners or joint venturers have a fiduciary duty to act with the highest good faith towards each other regarding affairs of the partnership or joint venture." (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.) "The essential element of a joint venture is an undertaking by two or more persons to carry out a single business enterprise jointly for profit." (*Id.* at 525) Importantly, whether a joint venture agreement exists "is a question of fact, depending on the intention of the parties." (*Ibid.*) The Complaint alleges the parties entered into a joint venture agreement and were "joint venturer[s] and partner[s]." (Comp. §§ 8, 30.) Taking this allegation as true, Plaintiff has alleged the parties entered into a joint venture agreement and thus owed one another a fiduciary duty.

The Complaint also alleges Defendant "acted against Plaintiff's interests" in multiple ways. (Comp. §31.) The Complaint does not specifically allege Defendant breached any fiduciary duty, nor does the Complaint allege which duty or duties Defendant allegedly breached. Although Plaintiff has sufficiently alleged the existence of a fiduciary duty between the parties, it is not clear from the Complaint what duty Defendant breached or how its actions constituted a breach of that duty.

Intentional Interference with Contractual Relations – 3<sup>rd</sup> Cause of Action:

The third cause of action is brought against “Does 11 to 25.” It is not asserted against Defendant directly, but as pointed out in Defendant’s Reply, the complaint alleges that Defendants (inclusive of all Does) acted as agents of each other. (Comp. ¶ 6). The allegations are entirely conclusory and do not include any facts. Plaintiff alleges Does knew of the contract between Plaintiff and Defendant, acted in a way to prevent performance or made performance expensive and difficult, and intended to disrupt the performance of the contract. (Comp. ¶¶34-37.) These allegations are insufficient and do not state a claim for intentional interference with contractual relations.

Goods and Services Rendered – 4<sup>th</sup> Cause of Action:

In order to prove entitlement to recovery under a theory of services rendered, a plaintiff must demonstrate: (1) the defendant requested that plaintiff perform services; (2) the plaintiff performed the requested services; (3) defendant has not paid for the services as requested; and (4) the reasonable value of the services delivered. (See CACI 371; *Ochs v. PacifiCare of California* (2004) 115 Cal.App.4th 782, 794.)

The Complaint simply restates these elements in a conclusory manner and does not allege any facts to support the claim. The Complaint alleges: (1) Defendant Berger requested, by words or conduct, Plaintiff perform services or deliver goods from the benefit of Defendant; (2) Plaintiff performed the services and delivered the goods as requested; (3) Defendant has not paid Plaintiff for the services or goods provided; and (4) the reasonable value of the goods and services provided are at least \$750,000. (Comp. ¶¶38-41.) There are no facts alleging what the goods or services to be delivered or performed were. Plaintiff does not provide any explanation or facts to support the \$750,000 figure alleged. The allegations are conclusory and not factual.

Defendant also brings a statute of limitations claim arguing the claim is barred under CCP §339. However, it is not clear from the Complaint that this claim is limited to a two-year statute of limitations for an oral contract under CCP §339. This is not a basis on which would sustain the demurrer.

Defendant’s Request for Judicial Notice GRANTED.

Defendant’s Demurrer to the 1<sup>st</sup>, 2<sup>nd</sup>, 3<sup>rd</sup> and 4<sup>th</sup> Causes of Action SUSTAINED with leave to amend.

Plaintiff to file an amended complaint within 20 days.

Case Management Conference remains set for 12.09.26.

3.

| CASE #      | CASE NAME                                                          | HEARING NAME                                                                                                 |
|-------------|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| CVPS2604326 | SONNENBLICK HOLDINGS, LLC VS H.N. AND FRANCES C. BERGER FOUNDATION | HEARING RE: MOTION TO STRIKE COMPLAINT OF SONNENBLICK HOLDINGS, LLC BY H.N. AND FRANCES C. BERGER FOUNDATION |

**Tentative Ruling:**

Defendant’s Motion to Strike is deemed MOOT.